

PMIs show manufacturing resilience has a little further to run

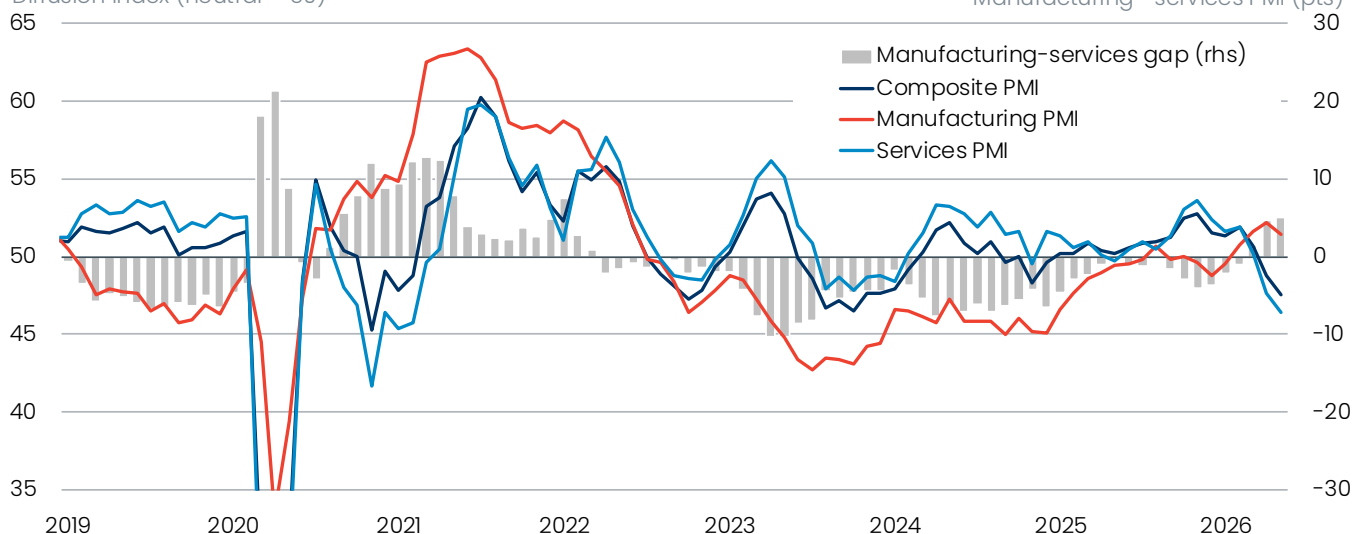
- The flash PMIs fell further in May, suggesting a renewed deterioration in activity. The composite PMI dropped 1.3pts to 47.5 and a two and a half year low. The supply shock emanating from the Middle East is increasingly weighing on activity, leaving risks to our already weak Q2 GDP forecast tilted firmly to the downside.
- The headline manufacturing index fell 0.8pts to 51.4 in the Eurozone, suggesting continued resilience. The services sector continued its collapse, falling 1.2pts to 46.4, the lowest level since the pandemic, as the war-triggered real income squeeze weighs on spending.
- Input cost inflation accelerated for the seventh consecutive month, while output prices increased at their fastest pace in 38 months. The release points to a broadening cost shock at a time when supply chains are already stretched, strengthening our case that the ECB will deliver its first 25bps hike in June.

The composite Eurozone flash PMI fell further in May, down 1.3pts from April, suggesting a renewed deterioration in real activity, with the headline index remaining in contractionary territory for the second month in a row. New orders ticked down in manufacturing for the first time since the outbreak of the US/Israel conflict with Iran. While there was some evidence of safety stock building, it seems that the boost from stockbuilding and front-running supply shortages in previous months is easing. However, the output index remained in expansionary territory suggesting that [manufacturing resilience](#) has a little further to run. The weaker outlook is also feeding into employment, as excluding the pandemic period, the reduction in workforce numbers was the largest since August 2013, led by staffing reductions in manufacturing.

Chart 1: Manufacturing and services both deteriorated in May

Eurozone: PMI

Diffusion index (neutral = 50)



Sources: Oxford Economics, S&P Global

Price pressures will be the most worrying part of the release for the ECB. The rate of input cost inflation accelerated for the seventh consecutive month and output price inflation rose at the fastest pace in 38 months, although only fractionally larger than the increase in April. This suggests that despite the weaker demand environment, firms are beginning to be forced to pass on the inflationary shock. The release points to a still broadening cost shock at a time where supply chains are stretched. If these pressures are echoed in the May inflation data, they would strengthen the case for our view that the ECB will deliver its first 25bps hike in June.

In Germany, the composite PMI edged up to 48.6 from 48.4 but remained in contractionary territory, pointing to a second consecutive monthly fall in private-sector activity. The marginal improvement came from services, which rose 0.9pts to 47.8 but remained the main drag on the headline. Manufacturing resilience is easing. The headline manufacturing index slipped into contractionary territory at 49.9, while the output index slowed to 50.2 from 52.0, suggesting that the earlier boost from stockbuilding and front-running supply shortages is fizzling out. Most worrying for manufacturing momentum is that the decline came despite supplier lead times lengthening for the ninth consecutive month, and by the most since June 2022. Since longer delivery times mechanically support the headline manufacturing PMI, the underlying signal is weaker than the headline suggests. Germany also showed clearer evidence that activity weakness is feeding into the labour market, with employment falling at its fastest pace in over a year-and-a-half, as new orders slowed and capacity utilisation declined.

In France, the PMIs collapsed, with the composite index falling to 43.5 from 47.6, its lowest level since the Covid-19 pandemic. The decline was broad-based. The manufacturing PMI falling 3.9pts to 48.9 and back into contractionary territory, while services dropped 3.6pts to 42.9, also its weakest reading since the pandemic. The fall in manufacturing was even clearer in the output index, which dropped more sharply to 46.4 from 52.8. The France numbers suggest the hit to activity from the crisis is larger than expected, and we will consider a cut to our already below consensus forecast in June, especially if the INSEE surveys out tomorrow give the same signal.

Overall, today's PMIs are clearly negative. They suggest the Eurozone downturn deepened in May as the stabilisation in sentiment has not been reflected in real activity and the support from stockbuilding and supply-shortage front-running is coming to an end. The supply shock continues to put accelerating upward pressure on prices and leaves the risks around our near-term forecast skewed towards weaker growth and higher inflation.